Mortgage rates

Banks offer a range of mortgages with different interest rates, each of which offers a different ratio of risk to affordability.

Fixed-rate mortgages offer the borrower fixed monthly payments for a set period of time. In the UK, fixed rates of two, three, or five years are common. The borrower either then remortgages to a new fixed-rate mortgage product or the original mortgage defaults to a variable rate. Fixed rates are not altered by changing interest rates or other economic conditions. This means the lender, not the borrower, carries the main interest rate risk.

Variable rates

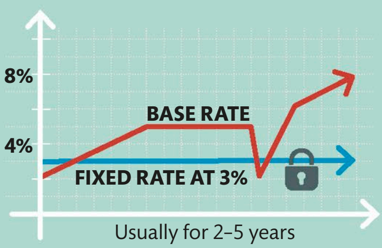
Variable- or adjustable-rate mortgages have rates which can change during the mortgage term, sometimes tracking a market index such as the country's central bank base rate. Monthly mortgage payments will therefore increase or decrease following fluctuations in the base rate. This means the interest rate risk is carried by the borrower, who will need to be sure they can still afford the mortgage should the interest rate increase. The proportion of mortgages that are variable-rate varies from country to country.

Types of mortgage rates

Generally, the greater the guarantee of security for the borrower, the higher the fees involved. Some deals also lock borrowers in to a particular rate, offering less flexibility.

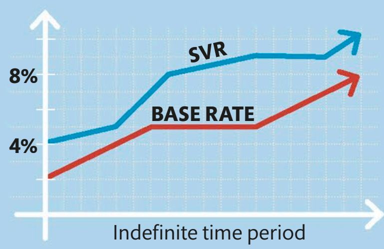
Fixed-rate mortgages

- The interest rate is set for a period or for the life of the loan, regardless of the base rate. This offers certainty, as borrowers pay a set monthly amount.
- These often come with higher arrangement fees, and payments will stay fixed even if the base rate falls.



Standard variable rate (SVR) mortgages

- The lender can raise and lower interest rates, which may be influenced by the central bank's base rate, but can also be changed regardless of the base rate.
- These are usually cheaper than fixed-rate mortgages, but borrowers are vulnerable to interest rate rises.



Why interest matters

Small variations in the interest rate can make a big difference to the total amount of interest paid over the mortgage term.

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